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Vishal Mega Mart — DRHP

India Aspirational Retail & Apparel Market Analysis

Structured Insights from RedSeer Report + VMM Business Section

For Thesis Triangulation & Presentation Alignment · June 2026

SECTION 01
India Macro & Retail Overview

SECTION 02
Aspirational Retail & Apparel Deep Dive

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VMM Business & Benchmarking

■104-112T	~10% CAGR	90-95%	■68-72
Aspirational Retail TAM by CY2028	Apparel Market CY2023-2028	of Indian Retail is Aspirational	Current Market CY2023

Contents

India Macro-Economic■& Retail Market Overview

Source: RedSeer Strategy Consultants — India's Aspirational Retail Market (Oct 2024)

01

1.1 GDP & Private Consumption Tailwinds

India is the world's fifth-largest economy (■310T / US$3.7T in CY2023) and is on track to become the **third-largest by CY2028** at ■493T (US$5.9T), compounding at 10% nominal CAGR — outpacing both the USA (4%) and China (6%). Private consumption (PFCE) is the driver, rising from 59% of GDP in FY2019 to 60% in FY2024, still well below the US at 68%, signalling significant headroom. The ■166K (US$2,000) per-capita GDP threshold was crossed in 2019/2021 — historically the inflection point that triggered ~20% CAGR in discretionary PFCE in China.

Exhibit 1.1a — GDP Per Capita Trajectory — India

Metric	CY2018	CY2023	CY2028P	CAGR
Nominal GDP (■ Trillion)	224T	310T	493T	10%
GDP per Capita (■)	1,64,000	2,17,000	3,31,000	~9%
GDP per Capita (US$)	$1,974	$2,612	$3,985	~9%
India Global GDP Rank	#7	#5	#3 (P)	—

Source: IMF World Economic Outlook (Apr 2024); Conversion: 1 US$ = ■83

Key Implication for Apparel Thesis

- The US$2,000 per-capita inflection is already behind India — PFCE acceleration is NOW underway.
- China post-2006 saw ~20% CAGR in PFCE for 5 years; India is at an equivalent stage.
- Rising incomes directly expand the addressable market for fashion and lifestyle categories.
- Consumer credit access is amplifying discretionary spending beyond what income alone suggests.

1.2 Middle Income Segment & Urbanization Engine

Exhibit 1.2a — Household Income Segmentation

Income Segment (Annual HH)	CY2018 HHs	CY2023 HHs	CY2028P HHs	2023 Share
High-Income (>■10L / >US$12.5K)	28 Mn	41 Mn	60 Mn	12%
Middle-Income (■1.5L-10L / US$1.8K-12.5K)	201 Mn	225 Mn	246 Mn	66%
Low-Income (<■1.5L / <US$1.8K)	80 Mn	73 Mn	59 Mn	22%
TOTAL HOUSEHOLDS	~309 Mn	~339 Mn	~365 Mn	100%

Source: RedSeer Research & Analysis. Income based on real wage growth adjusted for inflation.

Exhibit 1.2b — Urbanization & Demographic Tailwinds

Demographic Indicator	CY2018	CY2023	CY2028P
Urban Households (Mn)	110-120	120-130	~140 (est.)
Urban Population Share	~34%	36% (511Mn)	>50% by 2050
Nuclear Households (Mn)	~178	~205	243-255
Nuclear HH as % of Total	~58%	~60%	67-70%
Working-Age Pop. 18-40 (Mn)	518	546	560
Working-Age as % of Total	36%	38%	39%
Female Labour Participation	23% (FY18)	37% (FY23)	Expanding
Females in Workforce (Mn)	~97	~176	Est. 200+

Source: RedSeer; ILO; Ministry of Women & Child Development; Ministry of Urban Affairs

Why This Matters for Apparel Specifically

- 225 Mn middle-income HHs (~945 Mn individuals) are the PRIMARY apparel demand engine.
- Nuclear family growth (+27 Mn HHs 2018-23) drives per-household apparel spend vs. joint families.
- 38% of India is aged 18-40 — the highest fashion-engagement cohort globally.
- Female workforce grew at +13% CAGR 2018-23 — dual income = higher discretionary wallet.
- 65-70% of incremental middle-income HH growth (2023-2028) comes from Tier-2 cities.

1.3 India Retail Market — Size, Growth & Channel Mix

Exhibit 1.3a — India Total Retail Market — Size & Channel Evolution

Channel	CY2018 (■T)	CY2023 (■T)	CY2028P (■T)	CAGR 23-28
Organized B&M Retail	6.3T (~$76Bn)	10T (~$120Bn)	23-26T (~$277-313Bn)	19-20%
Organized Online (e-Commerce)	0.8T	4.9T	13-14T	>20%
Total Organized Retail	7.7T ($93Bn)	14.9T ($180Bn)	36-38T ($434-458Bn)	20%
Unorganized (General Trade)	49.3T	61.1T	78-86T	6-7%
TOTAL RETAIL MARKET	~57T ($689Bn)	~76T ($916Bn)	116-124T ($1,400-1,500Bn)	~9%

Source: RedSeer Research & Analysis; 1 US$ = ■83

Exhibit 1.3b — Per-Capita Retail Spend — Global Benchmarking (CY2023)

Country	Per Capita Retail Spend (■)	Per Capita Retail Spend (US$)	vs India (Multiple)
India	**■53,200**	US$640	1.0x (baseline)
China	**■2,19,000**	US$2,640	4.1x India
USA	**■10,16,000**	US$12,250	19.1x India

Implication: India's per-capita retail spend is 4x below China — massive structural upside remains.

Exhibit 1.3c — City-Tier Split of Organized Retail (CY2023)

City Tier	Total Retail (■T)	Organized Share	Unorganized Share	Organized CAGR 23-28
Tier-1 Cities	~20T (~$238Bn)	45-50%	50-55%	~15%
Tier-2 Cities & Beyond	~56T (~$678Bn)	6-11%	89-94%	~32%

Key: Tier-2+ grows at 32% CAGR for organized — vs just 15% in Tier-1. The real opportunity is in depth of penetration in smaller cities.

1.4 Shift Toward Discretionary Spending

Exhibit 1.4a — Discretionary vs Non-Discretionary Split — India vs Global

	India CY2018	India CY2023	India CY2028P	China CY2023	USA CY2023
Discretionary Share of Retail	51%	53%	57%	~68%	~78%
Discretionary Market Size	~29T	~40T ($485Bn)	~68T ($803Bn)	—	—
Non-Discretionary Share	49%	47%	43%	~32%	~22%
Discretionary CAGR 2023-2028	—	—	~11%	—	—

Discretionary includes: FMCG (excl. staples), Apparel, Consumer Electronics, Appliances, General Merchandise, BPC. India at 53% vs 68-78% in peer economies = significant headroom.

Exhibit 1.4b — Retail Category Breakdown (CY2023 & 2028P)

Category	CY2018 Share	CY2023 Share	CY2028P Share	CAGR 23-28
Staples & FMCG	40%	37%	36%	+9%
Fresh (F&V, Meat, Dairy)	26%	25%	23%	+7%
Others (Electronics, Furniture, etc.)	23%	26%	28%	+10%
Apparel	7%	8%	8%	+10%
General Merchandise	4%	4%	5%	+14%

Apparel & General Merchandise are the fastest-growing share-gaining categories within the retail basket. Source: RedSeer.

Aspirational Retail &■Apparel Market Deep Dive

India's defining retail story — the mass-middle consumer who wants quality at affordable prices

02

2.1 What is Aspirational Retail? Sizing the TAM

Aspirational Retail encompasses both **Mass** (low-priced items affordable by an average Indian household) and **Masstige** (low-to-mid priced items providing a sense of prestige at an affordable price point) brands. It excludes the **Premium** tier (mid-to-high priced for above-average income households). As of CY2023, Aspirational Retail constitutes **90-95% of the total Indian retail market** — making it not a niche but the very definition of Indian consumer spending.

Exhibit 2.1a — Aspirational Retail TAM Trajectory

Metric	CY2018	CY2023	CY2028P	CAGR 23-28
Total Aspirational Retail TAM	**■52-56T ($625-675Bn)**	**■68-72T ($820-870Bn)**	**■104-112T ($ 1,250-1,350Bn)**	+9%
As % of Total Retail Market	~91%	90-95%	~89%	—
Mass Segment Share	74-79%	71-76%	70-75%	+9%
Masstige Segment Share	12-22%	14-24%	16-26%	+11%
Premium Segment (excluded)	4-9%	5-10%	5-10%	+10%

Source: RedSeer. Note: Mass, Masstige, Premium defined by brand positioning across price points. Unbranded treated as Mass.

Exhibit 2.1b — Aspirational Retail by Category — CY2023 & CY2028P

Category	CY2023 Size	CY2028P Size	CAGR	Asp. Share of Category	Mid-Income % of Category
Staples & FMCG	**■27-28T**	**■39-41T**	+9%	97-99%	59-64% (→64-69% by 2028)
Fresh	**■19T**	**■28T**	+7%	~99%	Broad
Apparel	**■5-6T**	**■8-9T**	+9%	84-89%	60-65% (stable to 2028)
General Merchandise	**■2-3T**	**■4-5T**	+14%	84-89%	60-65% (→57-62% by 2028)
Others	**■15-16T**	**■26-28T**	+11%	Varies	—
TOTAL ASPIRATIONAL	**■68-72T**	**■104-112T**	+9%	90-95% of retail	64-69%

Source: RedSeer. Fresh & Staples together represent >60% of Aspirational market but their share will decline as Apparel & GM gain.

Structural Reading of Aspirational Retail

- 90-95% of India shops in the "good quality at affordable price" mode — not luxury, not commodity.
- Middle-income HHs (225Mn, ~945Mn individuals) account for 64-69% of aspirational spending.
- Premium players cater to a structurally smaller base — the mass-middle is where volume lives.
- Brands entering at mass-to-masstige price points face the largest and fastest-growing TAM.
- Organized players converting unorganized shoppers are the primary value capture story.

2.2 Apparel Market — The Primary Focus

The Indian apparel market was sized at **■6T (US$71Bn) in CY2023** and is projected to reach **■10T (US$116Bn) by CY2028** at a CAGR of ~10% — making it one of the fastest-growing major consumer categories. Aspirational Retail accounts for **84-89%** of the apparel sector, with middle-income households driving **60-65%** of this demand. Importantly, the unorganized channel still dominates at 47-52% in CY2023, providing a massive conversion opportunity for organized retailers.

Exhibit 2.2a — Apparel Market — Full Snapshot

Metric	CY2018	CY2023	CY2028P	CAGR 23-28
Total Apparel Market	**■4T (~$52Bn)**	**■6T (~$71Bn)**	**■10T (~$116Bn)**	~10%
Organized Channel Share	33-38%	48-53%	55-60%	+13% CAGR
Unorganized Channel Share	63-68%	47-52%	40-45%	+7% CAGR
Aspirational Share of Apparel	—	84-89%	Stable	—
Middle-Income HH Contribution	—	60-65%	~60-65%	—
Organized Apparel Market Size	**~■1.4-1.5T**	**~■2.9-3.2T**	**~■5.5-6.0T**	~12-14%

Source: RedSeer Research & Analysis; 1 US$ = ■83

The Core Apparel Market Narrative in 4 Points

- ■6T market growing at 10% CAGR — that's ■600Bn+ of incremental spend added every year.
- Organized share is growing 13% CAGR while unorganized grows only 7% — organized is taking wallet.
- The unorganized-to-organized conversion runway: 47-52% of market is still unorganized in 2023.
- Masstige/mid-tier fast fashion brands are the structural winners — the premium segment remains small.

2.3 Drivers of Apparel Growth (RedSeer Analysis)

Exhibit 2.3a — Apparel Growth Drivers — Structured Summary

Driver	Description	Impact Level
Increased Media Exposure	Social media (Instagram, YouTube, Pinterest) acts as a continuous global fashion showcase. Influencer marketing drives aspiration. Middle-income consumers seek affordable versions of trends.	HIGH
Emergence of Fast Fashion	India's young demographic (significant pop. under 30) adopts trends faster. Peer-driven fashion choices and social status signalling through clothing. Fast fashion brand proliferation across the country.	HIGH

Retail Expansion & Accessibility	Organized retailers entering Tier-2 cities and beyond, tapping latent demand from aspirational audiences previously underserved. Both online and offline expansion democratizing fashion access.	HIGH
Nuclearization of Families	+27 Mn nuclear HHs created 2018-2023. More households = more individual fashion decision makers = higher per-capita apparel spend. Individual style expression increases.	MEDIUM-HIGH
Rising Female Workforce	Females in workforce grew 97Mn → 176Mn (+13% CAGR). Dual-income households drive higher discretionary spend. Work attire and occasion-specific fashion demand rises.	MEDIUM-HIGH
Digital Payment Infrastructure	UPI and digital payments make apparel transactions frictionless across channels. Enables smooth online-to-offline and impulse purchasing.	MEDIUM

Source: RedSeer Report, VMM DRHP Section IV

2.4 Organized vs Unorganized Channel Shift in Apparel

The most important structural trend in Indian apparel is the **shift from unorganized general trade to organized retail**. Unorganized retail accounted for 63-68% of the apparel market in CY2018 and has declined to 47-52% in CY2023, with organized channels projected to capture 55-60% by CY2028. This conversion is driven by five compounding forces:

Exhibit 2.4a — Drivers of Unorganized → Organized Conversion in Apparel

Conversion Driver	Mechanism
Increasing Quality Baselines	Consumers increasingly demand consistency & standardization that kirana/local stores cannot provide. Global brand exposure raises quality expectations.
Wider Assortment	Organized players carry 25,000-50,000 SKUs vs 1,500-5,000 SKUs in kirana Class A stores. One-stop-shop drives consolidation of purchases.
Better Pricing Transparency	MRP-based pricing + loyalty discounts. No negotiation variability. Bulk procurement gives organized players 800-1,200 BPS gross margin advantage in fashion.
Superior In-Store Experience	Lighting, air conditioning, trial rooms, visual merchandising, planograms. In Tier-2 cities, a Zudio/VMM store is genuinely a "destination" experience.
Dense Urban Areas & Logistics	Higher store density enables efficient last-mile replenishment. Organized players maintain 130-150% in-stock rates vs unorganized's inconsistent availability.

Same-Store Sales Growth (SSSG): Organized B&M; achieved 15-22% SSSG (2023) vs 4-6% for unorganized B&M; — a ~4x advantage. Source: RedSeer.

Exhibit 2.4b — Gross Margin Advantage — Organized vs Unorganized (CY2023)

Category	Organized Gross Margin	Unorganized Gross Margin	Advantage (BPS)
Fashion / Apparel	~45%	~35%	+800 to +1,200 BPS
General Merchandise	~25%	~20%	+400 to +600 BPS
Staples & FMCG	~7%	~6%	+80 to +120 BPS

Apparel / Fashion has the largest gross margin gap — reinforcing why private-label-led organized apparel retailers are structurally superior businesses. Source: RedSeer.

2.5 Tier-2 Cities — The Growth Engine for Apparel

Exhibit 2.5a — Tier-2 Cities — Role in Aspirational Retail

Metric	Data Point
Tier-2+ Share of Aspirational Retail (CY2023)	74% of total aspirational retail spending
Tier-2+ Projected Share (CY2028)	76-78% — growing faster than Tier-1
Tier-2+ CAGR for Organized Retail (2023-2028)	~32% — vs 15% for Tier-1
Organized Retail Store Density (Tier-2+)	Very low — large whitespace opportunity
Middle & High-Income HHs in Tier-2+ (CY2023)	~76% of Tier-2+ households
Middle & High-Income HHs in Tier-2+ (CY2028P)	~82% of Tier-2+ households
Incremental Middle-Income HH Growth from Tier-2+ (2023-28)	65-70% of all new middle-income HHs
Smartphone Penetration in Tier-2+ (CY2023)	50-55% → 63-68% by 2028
Number of Cities (Pop. >50K)	~1,250 Tier-2 + ~50 Tier-1
e-Commerce Penetration (Tier-2+)	Only 3-5% — vs 7% overall (CY2023)

Source: RedSeer; Ministry of Urban Affairs. The low e-comm penetration in Tier-2+ means offline organized retail has a structural moat — online cannot substitute for immediate access.

Thesis Hook: Tier-2 Apparel is the Delta

- Tier-2+ cities are where 74% of aspirational retail spending already sits — and organized has <11% share.
- The organized-to-unorganized conversion in Tier-2+ apparel is EARLIER STAGE than Tier-1.
- Smart Cities Mission + reverse migration + remote work is drawing higher-income consumers to smaller cities.
- A retailer who cracks the right "box model" for Tier-2 apparel wins the largest untapped market in India.
- e-Commerce cannot serve Tier-2 apparel well: >3 day delivery vs instant store pickup + no try-on experience.

2.6 Brandification & Own-Label Opportunity

Consumers in India are increasingly valuing **quality, reliability, and aspiration** over pure price in their purchasing decisions. Brands are evolving into **symbols of trust and status**, particularly in Tier-2 cities where organized retail brands are often the first branded experience consumers encounter. This "brandification" trend creates a structural advantage for organized retailers who launch own-label brands — they inherit the store's brand equity while achieving superior margins.

Exhibit 2.6a — Brandification Metrics

Metric	Data
Top 10 Listed Consumer Companies — Revenue CAGR (5Y)	+12% over past 5 years
Top 10 Listed Consumer Companies — Adjusted ROCE (FY2023)	71%
Own Brand Gross Margin Premium vs 3rd Party (Apparel)	+800 to +1,200 BPS advantage
Consumer Openness to New Brands (tried in past year)	~40% of consumers (Deloitte/IFF 2026)
Key Categories for Brand Creation	Apparel, BPC, General Merchandise, Food
VMM Own Brand Revenue Share (FY2024)	71.81% of revenue
VMM Own Brand Revenue CAGR (FY2022-FY2024)	27.72%

Own brands are the highest-ROI play in aspirational retail. The retailer controls the margin stack, the design cycle, and the consumer relationship.
Source: RedSeer; VMM DRHP.

VMM Business Overview■& Competitive Benchmarking

Source: VMM DRHP — OUR BUSINESS section; RedSeer Operational & Financial Benchmarking

03

3.1 VMM Business Model — Value-First Offline Defined

Vishal Mega Mart operates as a **Value-First Offline Retailer** — a business model defined by competitive opening price points, volume-driven economics, and an emphasis on Tier-2 city penetration. As of June 30, 2024, VMM operates **626 stores across 403 cities** in 28 states and 2 UTs, with 436 of 626 stores (70%) in Tier-2 cities and beyond. The company sells across three categories: Apparel (44% of revenue), FMCG (27%), and General Merchandise (29%), all under its portfolio of **26 own brands** augmented by select third-party brands.

Exhibit 3.1a — VMM Key Business Metrics Snapshot

Metric	FY2022	FY2023	FY2024	Q1 FY2025 (Q ended Jun-24)
Revenue from Operations (■ Mn)	55,885	75,860	89,119	25,963
Revenue CAGR (FY2022-FY2024)	—	—	26.28%	—
EBITDA (■ Mn)	8,037	10,205	12,486	3,656
EBITDA Margin	14.38%	13.45%	14.01%	14.08%
Profit After Tax (■ Mn)	2,028	3,213	4,619	1,501
PAT Margin	3.63%	4.24%	5.18%	5.78%
Adjusted ROCE	156.34%	92.16%	70.95%	29.07% (Q, unanm.)
Same-Store Sales Growth (SSSG)	11.89%	25.16%	13.57%	11.63%
Total Number of Stores	501	557	611	626
Net Trade Working Capital Days	N.A. (<0)	N.A. (<0)	11 days	N.A. (<0)
Net Cash from Operations (■ Mn)	6,571	6,355	8,297	8,239

Source: VMM DRHP — Restated Consolidated Financial Information. ROCE declining as scale grows but still exceptional vs peers.

Exhibit 3.1b — Revenue Mix by Category

Category	FY2022 (■Mn)	FY2022 %	FY2024 (■Mn)	FY2024 %	YoY Trend
Apparel (100% Own Brand)	25,180	45.06%	39,013	43.78%	Share dipping slightly
General Merchandise	16,493	29.51%	25,433	28.54%	Stable share

FMCG (Own + 3rd Party)	14,057	25.15%	24,473	27.46%	Growing share
Total Sale of Products	55,729	99.72%	88,919	99.78%	—

Apparel is the largest category but FMCG is gaining share — consistent with the "one stop destination" thesis that draws consumers for grocery but converts to apparel too.

Exhibit 3.1c — Own Brand Portfolio & Revenue Contribution

Own Brand Metric	FY2022	FY2023	FY2024	Q1 FY2025
Own Brand Revenue (■ Mn)	39,229	53,480	63,993	19,236
Own Brand Share of Revenue	70.20%	70.50%	71.81%	74.09%
Own Brand Revenue CAGR (FY22-FY24)	—	—	27.72%	—
Brands with >■1,000 Mn revenue (FY24)	—	—	19 brands	—
Brands with >■5,000 Mn revenue (FY24)	—	—	6 brands	—
Total Own Brands (Apparel)	5	5	5	5
Total Own Brands (GM)	4	4	4	4
Total Own Brands (FMCG)	8	8	8	8
Total Own Brands (Cross-category)	9	9	9	9
Total Own Brand Count	26	26	26	26

Own brands now = 74% of revenue. This is rare — most mass retailers are brand aggregators. VMM is structurally more like Primark/Zudio than a traditional multi-brand retailer.

3.2 Four Organized Retail Business Models — Comparative Framework

Exhibit 3.2a — Organized Retail Business Model Comparison (CY2023)

Dimension	Value-First Offline	Premium Offline	e-Commerce	Quick Commerce
Primary Channel	Offline	Offline	Online	Online
SAM (CY2023)	**■56-60T**	**■26-30T**	**■61-65T**	**■26-30T**
SAM (CY2028P)	**■90-96T**	**■49-55T**	**■99-105T**	**■49-55T**
Addressable HHs	~252 Mn	~109 Mn	~266 Mn	~109 Mn
Income Segments Targeted	Low-Mid-Upper Middle + Tier-2 High	Upper Middle + High	Broad (digital users)	Upper Middle + High (T1)
Opening Price Point (OPP Index)	85 (10-20% below average)	158 (above average)	72 (lowest, unprofitable)	135 (above average)
Avg. Order Value (■)	**~■630**	**~■4,400**	**~■1,520**	**~■440**
EBITDA Margin (FY2024)	8-14%	11-18%	(19%) to (6%)	(120%) to (17%)
Store Payback Period	18-22 months	32-36 months	N.A.	N.A.
Geographic Coverage (Offline)	Pan-India (High T2+ coverage)	Primarily T1 + some T2	Pan-India	Primarily Tier-1

Tier-2 Delivery Speed	Instant (in-store pickup)	Instant (in-store)	>3 days delivery	Very limited presence

Source: RedSeer Research & Analysis. OPP index: mean of all models indexed to 100. Only Value-First Offline combines profitability + broad demographic reach + Tier-2 presence.

The Profitability Paradox of Indian Organized Retail

- e-Commerce has the largest SAM but NEGATIVE margins — they buy market share, not profit.
- Quick Commerce: negative 120% EBITDA margins. Unit economics still broken at scale.
- Value-First Offline: 8-14% EBITDA margins + 18-22 month store payback = rare combination.
- Premium Offline: good margins (11-18%) but small TAM and longer payback (32-36 months).
- BOTTOM LINE: For a scaled, profitable, India-wide apparel play — Value-First Offline is the ONLY viable model.

3.3 VMM Store Network & Operational Performance

Exhibit 3.3a — Store Network Growth & Geographic Distribution

Store Metric	Mar-22	Mar-23	Mar-24	Jun-24
Total Stores	501	557	611	626
Tier-1 City Stores	167	178	187	190
Tier-2+ City Stores	334	379	424	436
Tier-2+ as % of Total	66.7%	68.0%	69.4%	69.6%
New Store Additions (period)	88 (FY22)	66 (FY23)	61 (FY24)	16 (Q1FY25)
Net Store CAGR (FY2022-FY2024)	—	—	~10.3%	—
Cities Covered	~290 (FY22)	—	—	403
States + UTs Covered	—	—	—	30
Average Store Size (sq ft)	~18,000	~18,000	~18,000	~17,899
Average Lease Tenure	—	—	—	13.57 years
Average Store Payback (FY23 stores)	—	19 months	—	—

19-month average store payback is the shortest among leading offline-first diversified retailers in India (Source: RedSeer Report p.128).

Exhibit 3.3b — Regional Revenue Concentration (FY2024)

Region	% of Revenue (FY2024)	Top 2 States	Key Observation
North	43.21%	Uttar Pradesh + Delhi	Dominant region; UP alone = 108 stores
East + NE	29.12%	Assam + West Bengal	Strong NE presence; Assam = 41 stores
South	19.15%	Karnataka + Telangana	Karnataka = 70 stores, 2nd largest state
West + Central	8.30%	MP + Chhattisgarh	Under-penetrated; significant expansion room

North + East = 72% of revenue. South at 19% and West at 8% represent clear geographic expansion levers, especially given low current store density in those markets.

Exhibit 3.3c — Online Channel Metrics

Online Channel Metric	FY2022	FY2023	FY2024	Q1 FY2025
Online Revenue (■ Mn)	8.25	205.17	588.52	235.09
Online % of Total Revenue	0.01%	0.27%	0.66%	0.91%
Hyper-local Delivery Cities	—	—	—	375 cities
Hyper-local Delivery Stores	—	—	—	574 of 626
Hyper-local Registered Users	—	—	—	5.94 Mn
Loyalty Program Customers	86.10 Mn	104.29 Mn	123.41 Mn	128.79 Mn

Online is <1% of revenue but growing 3x YoY. The 128.79 Mn loyalty program members are a massive data & re-engagement asset — nearly the size of the entire US retail online market.

3.4 Competitive Benchmarking — VMM vs Leading Offline-First Diversified Retailers

RedSeer defines "Leading offline-first diversified retailers" as companies with revenues >■35Bn, >50% from own offline channels, and >5% revenue share each from Apparel, Staples & FMCG, and General Merchandise. The comparable set includes: **VMM, Reliance Retail, Avenue Supermarts (DMart), and Trent Limited**.

Exhibit 3.4a — Scale & Productivity Benchmarking (FY2024)

Retailer	Stores	Cities	Retail Space (Mn sqft)	Revenue/sqft (■)	Key Category Mix
Vishal Mega Mart	611	392	11	8,094	Apparel 44% | FMCG 27% | GM 29%
Reliance Retail	18,836	N.A.	79	34,523	N.A. (multi-format)
Avenue Supermarts (DMart)	365	N.A.	15	33,635	Food 57% | Non-Food FMCG 21% | GM+Apparel 22%
Trent Limited	903	178*	N.A.	N.A.	Fashion-led (Westside, Zudio formats)

*Trent city count pertains to fashion concepts only. Comparisons may not be like-for-like due to format differences. Source: Company Filings; RedSeer.

Exhibit 3.4b — Financial Performance Benchmarking (FY2024)

Retailer	Revenue (■ Mn)	Rev. CAGR (FY22-24)	Gross Margin	EBITDA Margin	PAT (■ Mn)	PAT Margin
Vishal Mega Mart	89,119	26%	28%	14%	4,619	5%
Reliance Retail (FY23)	23,09,310	32%	15%	8%	1,74,210	8%
Avenue Supermarts	5,07,888	19%	15%	8%	41,038	7%
Trent Limited	1,23,751	50%	44%	23%	29,110	23%

Trent's 23% EBITDA margin and 44% gross margin reflect the power of a purely fashion-focused own-brand model (Zudio). VMM's diversified mix (FMCG+Apparel+GM) delivers lower but more resilient margins.

Exhibit 3.4c — Efficiency & Working Capital Benchmarking (FY2024)

Retailer	Inventory Turnover (x)	Net Trade WC Days	Adjusted ROCE (FY23)
Vishal Mega Mart	6x	11 days	Highest among peers (FY23)

Reliance Retail (FY23)	10x	26 days	—
Avenue Supermarts	14x	22 days	—
Trent Limited	8x	26 days	—

VMM has the lowest inventory turns but best working capital position (negative WC most periods). Fastest ROCE in FY2023. DMart's 14x turns reflects its hyper-efficient grocery model.

Exhibit 3.4d — VMM's Ranked Positions Among Peers (per RedSeer)

Ranking Metric	VMM's Position
Number of Tier-2+ Cities Presence (Mar-24)	Ranked #1 or #2 among leading offline-first diversified retailers
Total Number of Cities (Mar-24)	Ranked #1 or #2 among leading offline-first diversified retailers
Same-Store Sales Growth (FY2024)	Ranked #1 or #2 among leading offline-first diversified retailers
Retail Space (Mar-24)	Ranked in top 3 among leading offline-first diversified retailers
Most Diversified Category Mix (FY2024)	#1 — >25% revenue from each of Apparel, FMCG, GM
PAT Growth (FY2021-FY2024)	#1 — Fastest-growing leading offline-first diversified retailer
Adjusted ROCE (FY2023)	#1 — Most efficient company among peers
Revenue (FY2024)	Ranked in top 4 among leading offline-first diversified retailers
Revenue Growth (FY2022-FY2024)	Ranked in top 3 fastest-growing
EBITDA Margin (FY2024)	Ranked #1 or #2 among leading offline-first diversified retailers
Store Payback Period	Shortest among leading offline-first diversified retailers (19 months for FY23 stores)
Same-Day Delivery Cities (Mar-24)	Ranked #1 or #2 among leading offline-first diversified retailers
Opening Price Point Leadership (Apr-24)	Led across dresses, jeans, t-shirts, shirts, bedsheets, spin mop, etc.

All rankings per RedSeer Report; "leading offline-first diversified retailers" = VMM, Reliance Retail, DMart, Trent. Rankings are directional; exact ordering not always specified.

3.5 Thesis Alignment Hooks — What This Means for Your Research

Exhibit 3.5a — Key Thesis Hooks from the VMM DRHP for Your Apparel Research

Thesis Hook	Detail & Relevance
The Aspirational Apparel Wave	■6T → ■10T at 10% CAGR; 84-89% aspirational. This is the market your thesis lives in. The middle 225 Mn HH are the buyers. The organized channel is the vehicle.

Unorganized-to-Organized is the Structural Alpha	47-52% of apparel is still unorganized in 2023. The organizing is not done. Whoever builds the right box model (store format, pricing, brand) to convert these customers is the compounding story.
Private Label is the Margin Unlock	800-1,200 BPS gross margin advantage for organized apparel vs unorganized. VMM at 74% own-brand, Trent/Zudio at ~100%. Own label = pricing power + data + brand building.
Tier-2 is the New Battleground	74% of aspirational spending is already in Tier-2+; organized has <11% penetration there. 32% CAGR for organized retail in Tier-2+ through 2028. The players with the right supply chain + store economics for Tier-2 will dominate.
Fast Fashion Cycle is Shortening	90-100 day product development cycles for organized players. Youth demographic + social media is compressing fashion cycles. Brands that can trend-identify and deliver in <100 days win.
The Loyalty Database is a Moat	VMM has 128.79 Mn loyalty members — a first-party data asset for personalization, trend prediction, and cross-sell that unorganized retail structurally cannot replicate.
Omnichannel as Discovery + Conversion	3-5% e-comm penetration in Tier-2+ vs 7% nationally. Online drives discovery; offline drives conversion for high-touch categories like apparel. Retailers that integrate both (O2O) have lower CAC and higher LTV.
SSSG as Quality Metric	VMM SSSG at 13.57% (FY24), 3-4x higher than unorganized B&M (5-7%). SSSG is the cleanest signal that format economics are working before new store capex.

Directional Clarity for Your Presentation

- The TAM story is settled: Aspirational Apparel = ■5-6T now, ■8-10T by 2028, 84-89% accessible at "good quality/affordable price" position
- The structural story is clear: Organized beats unorganized on every metric — quality, margin, SSSG, data.
- The geography story is Tier-2: That's where 70% of existing spending is AND where penetration is lowest.
- The business model story: Value-First Offline + Private Label = the only profitable scaled format for mass-aspirational apparel.
- What you still need (your raw data): Pin-level demand, SKU velocity by geography, actual consumer preference surveys, competitive store-

This brief was compiled from the VMM Updated Draft Red Herring Prospectus-I (pages 101-156), incorporating the RedSeer India's Aspirational Retail Market Report (October 2024) and VMM's OUR BUSINESS section. All figures are as cited in the source document. The brief is intended for research triangulation and thesis development only — not for investment advice.